IN THE SUPERIOR COURT OF JUDICATURE

IN THE HIGH COURT OF JUSTICE

[COMMERCIAL 7 COURT]

HELD IN ACCRA ON 10TH DECEMBER, 2025

BEFORE HIS LORDSHIP JUSTICE EMMANUEL A. LODOH, J.

SUIT NO. CM/INTD/0415/2021

IN THE MATTER COMMENCED BY WRIT OF SUMMONS BETWEEN

BETWEEN

BANK OF AFRICA GHANA LTD **PLAINTIFF/JUDGMENT CREDITOR**

VRS.

KENSEL MARKETING LIMITED & 2 ORS **DEFENDANT/JUDGMENT DEBTOR**

AND

IN THE MATTER OF A NOTICE OF CLAIM FILED BY THE CLAIMANT

HANDSOME BELL GHANA LIMITED **CLAIMANT**

JUDGMENT

The judgment will seek to unpack the circumstances surrounding the claim of interest by the Claimant in a property situate at Adjiringanor in the Greater Accra Region of Ghana, which was attached by the Plaintiff/Judgment Creditor/Execution Creditor (hereafter to be called "Judgment Creditor') in the execution of a judgment entered against the Defendant/Judgment Debtor.

Background

The background to this case is that the Court differently constituted on 25th April, 2025 entered judgment in favour of the Judgment Creditor against Defendants/Judgment Debtors. Subsequently they commenced execution and attached a property presumably belonging to the 2nd Defendant/Judgment Debtor known as House No. 2, Oak Avenue, Adjiringanor.

The Claimant being apparently aggrieved at the attachment of the said property, filed a Notice of Claim on 26th March, 2024 claiming interest in the said property on the basis that it purchased the disputed property from Daniel Akwei Addo, the 2nd Defendant/Judgment Debtor. The Judgment Creditor responded to the Notice of Claim by filing a Notice of Dispute on 21st June 2024

The parties were subsequently ordered to file their respective affidavits in support of their various positions.

Mode of Trial

At the close of preliminary processes the Court pursuant to Order 44 Rule 13 (1) (a) determined that the mode for the determination of the issues between the parties shall be by summary determination. The Judgment Creditor subsequently applied to cross-examine the Claimant on their affidavit and also subpoenaed Mr. Alexander Nii Kwartei Owoo, a Director and shareholder of the Claimant Company.

The Trial

The Claimant filed their Affidavit of Interest on 24th January, 2025. Same was deposed to by Cecil Nii Azumah Mortorn, a Director of the Claimant's company. They deposed to their root of acquisition in paragraphs 4 of their Affidavit as follows:

> 4. That the Claimant Company acquired interest in the property from one Daniel Akwei Addo and this is evidence by a Deed of Assignment entered into between the Claimant Company and the said Daniel Akwei Addo. Attached marked and exhibited is a copy of the Deed of Assignment dated 18th October, 2021.

The Claimant duly exhibited the said Deed of Assignment dated 18th October, 2021. An examination of the Commencement to the Deed of Assignment will reveal the following statement:

> **"THIS ASSIGNMENT is made the Eighteenth (18th) Day of October, TWO THOUSAND & TWENTY-ONE (2021) BETWEEN DANIEL AKWEI ADDO of Accra in the Greater Accra Region of the Republic of Ghana (hereinafter called "THE ASSIGNOR" which expression shall where the context so admit or requires include his heirs successors and assigns) of the one part And**

HADSOM BELL GHANA LIMITED of Accra action per its Managing Director ALEXANDER NII KWARTEI OWOO & CECIL NII AZUMAH MORTON (hereinafter called "THE ASSIGNEE" which expression shall where the context so admits or requires includes its heirs successors personal representatives and assigns) of the other part"

I have examined the Affidavit of Dispute filed by the Judgment Creditor on 17th February, 2025 and find that, it is not their case that the disputed property was used as security or was encumbered by them in any form in respect of the credit facility advanced to the Defendants/Judgment Debtors.

The Judgment Creditor did not also challenge the claimant's claim that the disputed property was purchased from Daniel Akwesi Addo. No issues were therefore joined in respect of whether or not the disputed property was sold to the Claimant after the attachment.

The contention of the Judgment Creditor is rather that the sale and purchase of the disputed property from Daniel Akwesi Addo prior to the determination of the substantive action was the outcome of the collusion between the Claimant and Daniel Akwei Addo, a defendant in the substantive suit intended to overreach the Judgment of the Court and therefore a sham.

These depositions are contained in paragraphs 5 to 11 of the Affidavit of Dispute are as follows:

5. On the 25th of April, 2023, the Honourable Court delivered judgment in favour of the Plaintiff/Judgment Creditor against Defendants/Judgment Debtors. A copy of the Judgment is attached and marked as Exhibit "1".

6. The Defendants/Judgment Debtors have till date failed to fully pay the money granted to them by the Plaintiff herein.

7. As a result, H/No. 2 Oak Avenue, Adjiringanor which is the lawful property of the 2nd Defendant/Judgment Debtor was attached in execution of the judgment of the court.

8. I am informed and believed same to be true that the notice of claim was filed on the instructions of the 2nd Defendant and the Claimant is well-aware that it is not the lawful owner of the property.

9. I am informed and believe same to be true that the substantive action was instituted by the Plaintiff against the Defendants on the 4th of April, 2017 to recover the debt owed to the Plaintiff by the Defendants. A copy of the Writ of Summons and Statement of Claim is attached and marked as Exhibit "2".

10. I am informed and believe same to be true that one of the directors and shareholders of the Claimant is Alexander Owoo, the lawyer who represented the Defendants in the substantive suit. A copy of the registration particulars of the Claimant at the Office of the Registrar of Companies is attached and marked as Exhibit "3".

11. I am informed and believe same to be true that the Deed of Assignment dated the 18th of October 2021 and attached to the Affidavit of Interest of the Claimant was an act by the 2nd Defendant/Judgment-Debtor to overreach the certain judgment of the honourable court in the substantive matter by fraudulently executing the Deed.

12. I am informed and believe same to be true that the judgment-debtor being the owner of the property is still in possession of the property.

13. I am further informed and believe same to be true that per Exhibit "3", the Claimant was incorporated for the purpose of acquiring the attached property of the 2nd Defendant/Judgment Debtor.

Clearly, from the state of the affidavits filed, the issue for determination is whether or not the disputed property was sold in order to overreach the outcome of the substantive case.

Burden of Proof

Given the issue for determination, the question which arises is which of the parties bore the burden of proof or persuasion on this question. It is trite law that a property taken in execution is presumed to belong to the Judgment Debtor, therefore any rival claimant will be saddled with the burden to put before the Court evidence to establish their claim over the property taken in execution.

The placement of the legal burden on the Plaintiff is consistent with Sections 10(1) (2) (b), 11(1) (4), 14 and 17 of the Evidence Act, 1975, NRCD 323 and the principles set down in the case of **Okudzeto Ablakwa (No. 2) vs. Attorney General & Another [2012] 2 SCGLR 845 at 867.** In this case the court explained the law governing proof when it stated that:

> *"If a person goes to court to make an allegation, the onus is on him to lead evidence to prove that allegation, unless the allegation is admitted. If he fails to do that, the ruling on that allegation will go against him. Stated more explicitly, a party cannot win a case in court if the case is based on an allegation which he fails to prove or establish."*

Again in the case of **Takoradi Flour Mills vs. Samir Faris [2005-2006] SCGLR 882**, the court explained the burden cast by law on a plaintiff as follows:

> 7. *"It is sufficient to state that this being a civil suit, the rules of evidence require that the plaintiff produces sufficient evidence to make out his claim on a preponderance of probabilities, as defined in section 12(2) of the Evidence Decree, 1975 (NRCD 323). In assessing the balance of probabilities, all the party in whose*

favour the balance tilts is the person whose case is the more probable of the rival versions and is deserving of a favourable verdict"

As stated earlier I find from the evidence a zero dispute regarding whether or not the property was sold to the Claimant by the 2nd Defendant/Judgment Debtor. It is therefore my considered view that the Claimant has discharged its evidential burden under the law. Accordingly my considered view is that the evidential burden now shifts to the Judgment creditor to put before the Court evidence to establish that the conduct of the Claimant by purchasing the property from the 2nd Defendant/Judgment Debtor amounted to overreaching and therefore a sham.

Firstly, it has not been disputed that Mr. Alex Owoo, Esq., was counsel for the Defendant/Judgment Debtor in the substantive suit. It has further not been disputed that Mr. Alex Owoo, Esq. is one of the Shareholders/Beneficial owners and founding Directors of the Claimant Company. Finally it has not been disputed that the Claimant Company was incorporated in August, 2021.

Indeed the Judgment Creditor, tendered the company profile of the Claimant Company sourced from the Registrar of Companies as Exhibit "3" and further claimed that the Claimant was incorporated for the sole purpose of acquiring the disputed property and prayed that the corporate veil of the Claimant be pierced in order for justice to be done.

The counsel for the Judgment Creditor in his legal submissions referred the Court to the tenants under which a company may be incorporated in **Morkor v Kuma [1998-1999] SCGLR 620** as follows:

"Save as otherwise restricted by its regulations, a company, after its registration, has all the powers of a natural person of full capacity to pursue its authorised business. In this

capacity a company is a corporate being, which, within the bounds of the Companies Code, 1961 (Act 179) and the regulations of the company, may do everything that a natural person might do. In its own name, it can sue and be sued and it can owe and be owed legal liabilities. A company is, thus, a legal entity with a capacity separate, independent and distinct from the persons constituting it or employed by it. From the time the House of Lords clarified this cardinal principle, more than a century ago, in the celebrated case of Salomon v Salomon & Co [1897] AC 22, HL it has, subject to certain exceptions, remained the same in all common law countries and is the foundation on which our Act 179 is grounded.

The corporate barrier between a company and the persons who constitute or run it may be breached only under certain circumstances. These circumstances may be generally characterised as those situations where, in the light of the evidence, the dictates of justice, public policy or Act 179 itself so require. It is impossible to formulate an exhaustive list of the circumstances that would justify the lifting of the corporate veil. However, the authorities indicate that such circumstances include where it is shown that the company was established to further fraudulent activities or to avoid contractual liability"

The Supreme Court in the **Morkor v Kuma** case the Supreme Court referred to the In Halsbury's Laws of England (4th ed), Vol 7(1), at para 90, which states as follows:

"Notwithstanding the effect of a company's incorporation, in some cases the court will 'pierce the corporate veil' in order to enable it to do justice by treating a particular company, for the purpose of the litigation before it, as identical with the person or persons who control it. This will be done not only where there is fraud or improper conduct, but in all cases where the character of the company, or the nature of the persons who control it, is a relevant feature. In such cases the court will go behind the mere status of the company as a separate legal entity distinct from its shareholders, and will consider who are the persons,

as shareholders or even as agents, directing and controlling the activities of the company. However, where this is not the position, even though an individual's connection with a company may cause a transaction with that company to be subjected to strict scrutiny, the corporate veil will not be pierced.

From the case cited supra, my understanding of the law is that the Courts have the power to "look behind" the company's separate identity when the justice of the case so requires. This is however not automatic because there is no set rule governing the doctrine of piercing the corporate veil. This is mostly based on the facts and circumstances of each case.

The question therefore is whether or not the evidence before the court requires that the corporate veil protecting the acts of the company from its owners ought to be lifted as urged on the Court by the Judgment Creditor.

I have in earlier paragraphs noted that Mr. Alex Owoo, Esq. was the lawyer of Defendant/Judgment Debtor in the substantive suit. He is also a shareholder and Director of the Claimant. The Claimant company was incorporated during the pendency of the substantive action and finally that the disputed property was acquired by Claimant during the pendency of the action from the 2nd Defendant/Judgment Debtor, the subject matter of the action being an allegation that the Defendants/Judgment Debtors had breached their repayment obligations under the credit facility agreement.

I have perused carefully, the questions posed to the Claimant and Mr. Alex Owoo during their cross-examination. The scope of these questions covered the timing of the transfer or acquisition, the relationship between the claimant and Alex Owoo, Esq., the payments made, possession and control of the property and finally if the Claimant was conducting real business operations.

I must say that the court was completely dissatisfied with the responses given to the highly relevant questions posed by counsel for the Judgment Creditor. One would have thought that having had the benefit of the Affidavit of Dispute, the Claimant will file a further affidavit of interest to deal with the allegations contained in the affidavit of dispute.

But even more importantly, having failed to do so, and having had the opportunity provided by the questions to do so, they elected to spurn this question by giving non-committal responses.

Now, giving the relationship between the 2nd Defendant/Judgment Debtor and Mr. Alex Owoo, who was in charge of the 2nd Defendant/Judgment Debtors brief in the substantive case, it is my considered view that this places him in a privileged position and therefore any conduct of his which will create the impression of attempting to liquidate the 2nd Defendants assets through his company will be viewed with suspicion.

The statement above stems from considered opinion that a lawyer owes fiduciary duties to their client to avoid conflict of interest. Therefore, transactions between lawyer and client during or after and action will always be subject to strict scrutiny.

To my mind where a property is potentially belonging to a party may potentially be attached or sold to satisfy a judgment, it is said to be directly tied to the litigation.

Therefore, any purchase by a lawyer of that party will be considered extremely problematic. Indeed let me state without any equivocation that a lawyer representing a party either by himself or using a vessel in which he or she is a beneficial owner cannot

be seen to be acquiring client properties that are potentially the subject matter of execution, particularly during the pendency of a litigation.

My opinion supra, at the micro level, find further support in a finding that there is no indication in the body of evidence that the transaction between the 2nd Defendant/Judgment Debtor actually took place. The Claimant failed to tender evidence in proof of payment (in the nature of a receipt or transfer advice) of Two Hundred Thousand Ghana Cedis (GHS200,000.00) they paid in 2021 for the disputed property. There was also the absence of written proof of any arrangement for the payment of the disputed property.

I also find no evidence to show that the disputed property has been put to use by the Claimant, since they acquired it in 2021. Photographs of the Claimant operating from the disputed property could have served a useful purpose.

The timing of the sale, that is four (4) years after substantive action was filed and less than two (2) years before judgment was delivered creates the impression that the Claimant was simply an Special Purpose Vehicle (SPV) incorporated to solely dissipate the property of the 2nd Defendant to impair any potential execution process.

Finally, I find that the Claimant failed to show that it is a going concern by tendering samples of contracts, financial statements to evince that they are a viable going concern and where carrying out other activities in line with their stated objects beyond the purchase of the disputed land.

In the United Kingdom case of **Jones v Lipman [1962] 1 W.L.R. 832**, by the Chancery Division and delivered by Russell J, the facts of which are that Lipman executed an agreement with Jones to sell him a piece of land at the price of £5,250. Lipman later

changed his mind, and in order to get out of the obligation to fulfill the terms of the contract, he sold it to a company that had been established specifically for that reason. The sale was made for £3,000. Only Lipman and a clerk of his solicitors were members of the company when it first started. Jones subsequently brought an action for the specific performance against Lipman and the company. Lipman then claimed that he no longer owned the land and could not comply with the contract.

The issue before that court was whether or not Lipman's company was an attempt to circumvent a previous commitment to meet a legal obligation. The Court held that when a company is formed with the intention of breaking the law or defeating it, cheating creditors, or evading legal obligations, the Courts will not uphold the separate existence of the company as a legal entity.

The technical distinction here is however that, the Claimant herein is not attempting to avoid an obligation towards the Plaintiff/Judgment Debtor. It is rather seeking to assert its rights over the disputed property.

Be that as it may my views as expressed earlier is that when a party sells property to a company to avoid potential attachment in execution of a debt, the Judgment Creditor can challenge the transfer as a sham or bogus and therefore it is immaterial whether or not an obligation exists between the parties.

In the instant matter before me, the case of the Plaintiff/Judgment Creditor is not that the conveyance was fraudulent by rather that it was a sham, set up to achieve an dishonest purpose. Accordingly, it is my considered view that the reasons set out supra remains valid in respect of circumstances of the sale, which would require the lifting of the corporate identity of the Claimant.

Counsel for the Plaintiff/Judgment Creditor in the penultimate paragraph at page 12 of his written legal submission which I consider very persuasive as follows:

> **"My lord, the Claimant had the opportunity to cross-examine the witness of the Plaintiff but elected not to. It is our case that the affidavit of dispute filed by the Defendant remains unchallenged and the material facts in same have been admitted by the Claimant.**

It is trite law that affidavit evidence is evidence and therefore the principle enunciated in the case of **Evelyn Frimpomaa Owusu v James Owusu (H1/144/2010)** delivered on 17th March, 2011, applies. The Court of Appeal stated in this case as follows:

> *"Cross-examination among other things, affords the party doing the cross-examination the opportunity to put up his case across. He does this by putting to his opponents or his opponent's witness so much of his case as relates to that witness, or by putting the witness that aspect of his own case in which that witness has any share or interest. Where, for example, the testimony of the plaintiff on an issue is not exactly what the position of the defendant on that issue is, counsel for the Defendant is obliged by his cross-examination to indicate how much of the testimony he accepts, and how much of it he disputes or rejects and he will also put forward what the defendant's position on the issue is going to be. If in a situation like this, counsel for the defendant keeps quiet about the plaintiff's testimony or fails to ask questions about it, he will be taken to accept the plaintiff's statement in its entirety"*

Conclusion

I agree with the submissions by counsel for the Judgment Creditor *vis a vis* the legal effect of the failure to cross-examine a party. Concluding therefrom, I find from the body of evidence, circumstances compelling enough to lift the corporate veil of the Claimant.

Having done so, I restate my finding supra that the sale of the disputed property to the Claimant by the 2nd Defendant/Judgment Debtor was a sham constructed to frustrate the execution process. The said sale is accordingly set aside. The Claimants claim of interest in respect of the disputed property is hereby dismissed.

Cost of Thirty Thousand Ghana Cedis (GHS30, 000.00) against the Claimant.

(SGD)

EMMANUEL A. LODOH J.

HIGH COURT JUDGE

Lawyers

1. Andrew Appau Obeng, Esq. Counsel for Plaintiff/Judgment Creditor/Execution Creditor
2. Nii Apatu-Plange, Esq. Counsel for Claimant.